

AI Is Automating Analysis While Also Increasing the Importance of Human Judgment

AI adoption within people analytics is accelerating rapidly, but organizational readiness appears to be evolving more slowly.

Last year's HR.com research on people analytics found a sharp decline in the percentage of organizations not using AI, signaling growing experimentation and investment in AI-enabled analytics tools. While many organizations are investing heavily in AI-enabled analytics tools, the Delphi findings suggest that AI alone will not close the execution gap without stronger decision-making, oversight, and business integration.

During the advisory board discussion, Adam Murphy emphasized that people analytics becomes strategic only when connected directly to business priorities rather than isolated HR metrics. He noted that effective analytics ***"starts with the business metrics, not the people metrics,"*** reinforcing the idea that AI-generated insights create value only when tied to operational decision-making.

Across all three rounds, experts repeatedly emphasize that AI is reshaping the role of people analytics rather than replacing it. As automation handles more technical and administrative work, analytics teams will increasingly differentiate themselves through interpretation, operational influence, contextual judgment, and decision support.

Experts describe AI as an accelerator, not a replacement

In the first Delphi round, panelists consistently describe AI as a tool that can accelerate people analytics work by reducing manual reporting, data preparation, and repetitive analytical tasks.

Fiona Jamison describes AI as an opportunity for people analytics teams to ***“move faster and go deeper,”*** helping leaders navigate increasing organizational complexity.

Brian Kasen, Director of Data Engineering & Analytics at Mitratesh, highlights how AI can dramatically expand analytical capability:

“The opportunity is to deliver insights at a breadth, depth, and speed that we’ve never seen before.”

Over-reliance on AI: Leaders relying on AI without applying human judgment.

Democratization: Allowing managers to access and use workforce data without relying on analysts.

Automation: Automating tedious data preparation, cleaning, and scheduled reporting.

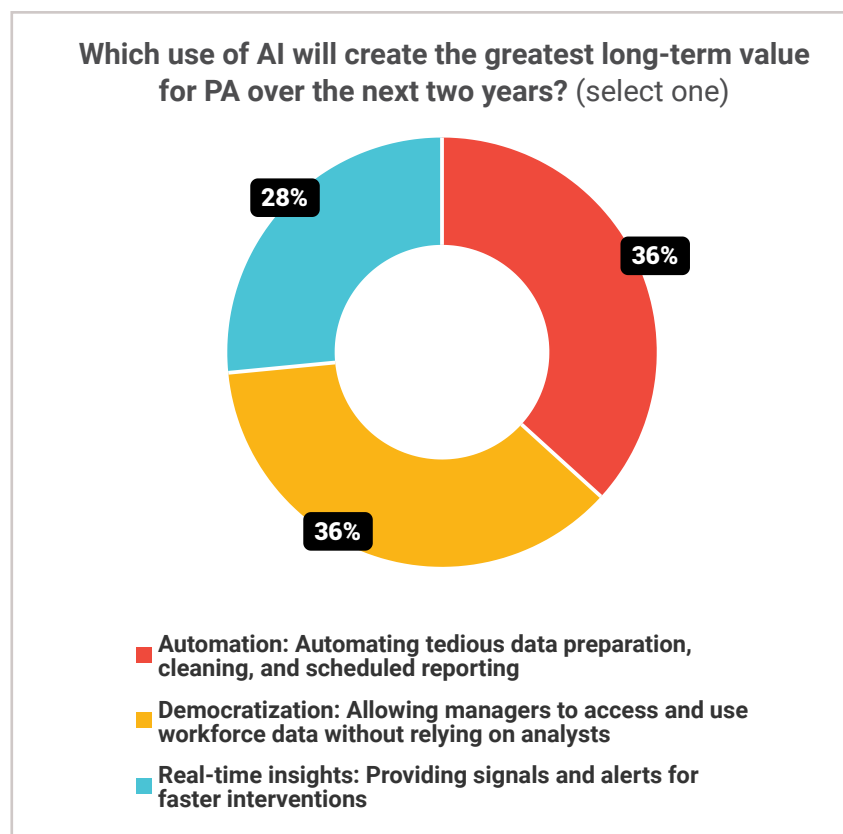
Decision Accountability: Require leaders to justify major AI-assisted decisions.

Viktor Mirovic, CEO of KeenCorp, suggests that AI simplifies work by automating time-consuming tasks and that this gives HR a unique, timely opportunity to leverage its speed and clarity to become a strategic part of the boardroom conversation.

Ranjan Dutta, Ph.D., Founder and Managing Partner of ThothProAI, cautions against viewing AI as a “monolithic concept,” emphasizing its rapid progression from GPT models to agentic frameworks. He argues that people analytics has a critical role in workforce planning for the “human plus AI workforce” by anticipating new roles, skills, and organizational process optimization.

This focus built on the foundational metrics established in Round 2, where experts initially identified automation and democratization as the most valuable day-to-day applications of AI technology.

When forced to select the single use of AI that will create the greatest long term value, Round 3 experts were split between automating tedious data preparation and reporting (36%) and allowing managers to access and use workforce data without relying on analysts (36%).



Over-reliance on AI emerges as the greatest risk

At the same time, participants repeatedly cautioned against treating AI as a replacement for organizational judgment. Curtis Winegar emphasized that easy access to AI-generated answers may create false confidence if organizations fail to apply critical thinking:

"When AI makes answers easy to generate, it can mask bias, remove context, or encourage action without judgment."

The second Delphi round clarifies expert concerns further. When asked to identify the most critical risk associated with AI-enabled people analytics, the most common response was over-reliance on AI without applying human judgment.

This concern outranked:

- algorithmic bias
- data privacy risks
- lack of transparency in AI systems

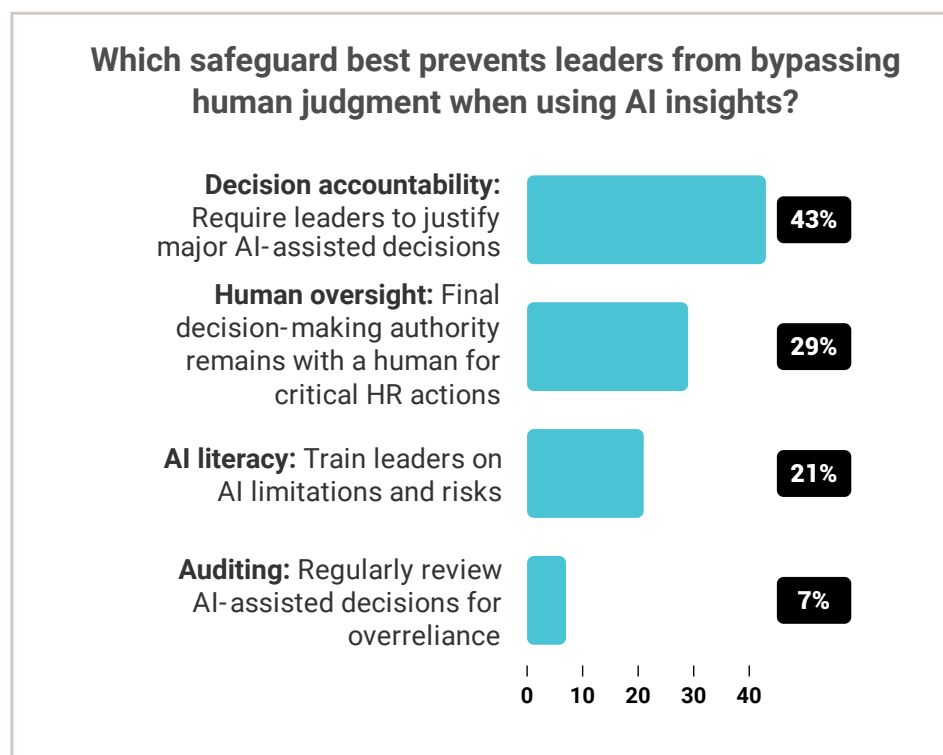
Ranjan Dutta notes that while data integration challenges are not new, AI is rapidly changing how organizations aggregate and analyze workforce data. He explains that modern AI tools can dramatically accelerate integration and analysis processes, increasing both the speed and complexity of workforce decision-making.

Jeff Higgins expresses deep skepticism regarding AI's current autonomous capability across platforms, noting that running AI across multiple, un-integrated HR systems frequently produces highly contradictory advice. He raises the crucial question of how AI prioritizes data to determine the "truth" when conflicting information from multiple HR systems is present.

Accountability becomes more important as AI adoption expands

By Round 3, the panel focused increasingly on governance and accountability. When asked which safeguard best prevents leaders from bypassing human judgment, about two-fifths of experts selected decision accountability requiring leaders to justify major AI-assisted decisions.

The panel also shows a cautious approach toward AI investment. When asked how to prioritize limited budgets in 2026, 92% of Round 2 experts recommended piloting and experimenting with new AI tools in small areas rather than aggressively rolling them out enterprise-wide.



Instead, 75% of respondents vote to aggressively scale both the integration of cross-functional business data and the systematic embedding of analytics into routine operational decision-making loops. This clear consensus demonstrates that leaders recommend pausing platform expansion to focus squarely on solving their data related issues.



Taken together, the findings suggest that AI is fundamentally reshaping the role of people analytics. As automation increasingly handles reporting, summarization, and basic analytical tasks, the differentiating value of people analytics teams will increasingly come from:

- interpretation
- business integration
- operational influence
- contextual judgment
- decision support

HRRI Strategic Recommendations

Based on our research, consider the following suggestions:

1. **Define where human oversight is mandatory.** The findings consistently emphasize that organizations should not rely entirely on AI-generated recommendations for high-impact workforce decisions. This helps prevent over-reliance on automated outputs and reinforces accountability. Establish clear guidelines identifying which decisions always require human review, including:
 - promotions
 - performance evaluations
 - terminations
 - compensation decisions
 - succession planning
 - high-impact hiring decisions
2. **Pilot AI in focused, measurable use cases.** Experts strongly favor experimentation in smaller, targeted use cases rather than large-scale transformation initiatives. Measure operational value before scaling AI initiatives further. Begin with applications such as:
 - turnover risk identification
 - workforce planning scenarios
 - automated reporting summaries
 - skills gap analysis
 - learning recommendations

3. Strengthen AI governance and transparency. The findings repeatedly highlight the importance of governance as AI adoption expands. Employees and leaders should understand how AI-generated insights are created, interpreted, and used. Develop governance frameworks covering:

- data privacy
- bias testing
- decision accountability
- AI usage policies
- audit processes
- communication standards

4. Build AI and analytics literacy across leadership teams. Organizations should invest in practical AI literacy training for HR leaders, managers, and business partners. As AI-generated insights become more common, leaders need stronger capability to:

- question assumptions
- recognize bias
- interpret predictions carefully
- evaluate contextual limitations
- avoid treating AI outputs as absolute facts

5. Reposition analytics teams around interpretation and decision support. As AI automates technical reporting work, analytics professionals should spend more time on:

- workforce scenario planning
- strategic consulting
- stakeholder engagement
- organizational storytelling
- operational decision support

This helps ensure AI augments human judgment rather than replacing critical thinking and organizational context.